

Insurance ? Supervised Run-off

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1

Application and Definitions

1.1

This Part applies to _SRO insurers_.

1.2

In this Part, the following definitions shall apply:

end date

means the end of the relevant period determined in accordance with regulation 41 of the EEA Passport Rights (Amendment, etc., and Transitional Provisions) (EU Exit) Regulations 2018.

material transaction

means a transaction (when aggregated with any similar transactions) in which:

1. (1) the price actually paid or received for the transfer of assets or liabilities or the performance of services; or
2. (2) the price which would have been paid or received had that transaction been negotiated at arm's length between unconnected parties;
3. exceeds:
 1. (a) in the case of a _firm_ which carries on _long-term insurance business_ , but not _general insurance business_ , the sum of £18,000 and 5% of the _firm's_ liabilities arising from its _long-term insurance business_ , excluding _linked long-term liabilities_ and net of _reinsurance_ ceded;
 2. (b) in the case of a _firm_ which carries on _general insurance business_ , but not _long-term insurance business_ , the sum of £18,000 and 5% of the _firm's_ liabilities arising from its _general insurance business_ , net of _reinsurance_ ceded; or
 3. (c) in the case of a _firm_ which carries on both _long-term insurance business_ and _general insurance business_ :
 1. (i) where the transaction is in connection with the _firm's_ _long-term insurance business_ , the sum of £18,000 and 5% of the _firm's_ liabilities arising from its _long-term insurance business_ , excluding _linked long-term liabilities_ and net of _reinsurance_ ceded; and
 2. (ii) in all other cases, the sum of £18,000 and 5% of the _firm's_ liabilities arising from its _general insurance business_ , net of _reinsurance_ ceded;
4. and
5. (d) a reference to the ? _firm's_ liabilities? is to be interpreted as a reference only to the liabilities relevant to the operations permitted under regulation 28 or 34 of Part 6 of the EEA Passport Rights (Amendment etc. and Transitional Provisions) (EU Exit) Regulations 2018.

scheme of operations

1. means a scheme which:

1. (1) describes the nature of the risks which the _insurer_ is underwriting, or intends to underwrite, and the guiding principles which it intends to follow in reinsuring or covering those risks; and
2. (2) contains the information required under 3.1.

2

Provision of Run-Off Plan

2.1

A _firm_ must, within 28 days of the date on which the _firm_ becomes a _SRO firm_ , submit a run-off plan to the _PRA_ including:

1. (1) a _scheme of operations_ , in accordance with 3; and
2. (2) an explanation of how, or to what extent:
 1. (a) all _liabilities to policyholders_ will be met in full as they fall due; and
 2. (b) the _firm_ will have ceased _effecting contracts of insurance_ and _carrying out contracts of insurance_ by the _end date_.

3

Content of Scheme of Operations

3.1

In accordance with 3.2, a scheme of operations must:

1. (1) describe the _firm's_ run-off strategy;
2. (2) include a description of the business underwritten by the _firm_ ;
3. (3) in the case of _third country branch undertakings_ , include financial projections (including appropriate scenarios and stress-tests) as follows:
 1. (a) a forecast summary profit and loss account in accordance with 3.3; and
 2. (b) a forecast summary balance sheet in accordance with 3.4;
 3. (c) [deleted]
4. (4) as at the end of each financial year which falls (in whole or part) within the period to which the _scheme of operations_ relates:
 1. (a) in the case of _third country branch undertakings_ , identify any _material transactions_ proposed to be entered into or carried out with, or in respect of, any associate or any other _person_ with whom the _firm_ has _close links_ ; and
 2. (b) describe the assumptions which underlie those forecasts and the reasons for adopting those assumptions; and
5. (5) cover the run-off period until all _liabilities to policyholders_ will be met in full or otherwise transferred.

3.2

The information required by 3.1 must:

1. (1) in the case of _third country branch undertakings_ , reflect the nature and content of the rules relating to the valuation of assets and liabilities applicable to a _firm_ ;
2. (2) where a _firm_ carries on both _long-term insurance business_ and _general insurance business_ , be separated for _long-term insurance business_ and _general insurance business_ ; and

3. (3) in the case of _third country branch undertakings_ , take account only of matters relevant to the operations effected by the _third country branch_.

3.3

The forecast summary profit and loss account referred to in 3.1(3)(a) must contain the following information:

1. (1) _premiums_ and claims (gross and net of _reinsurance_) analysed by accounting _class_ of _insurance business_ ;
2. (2) investment return;
3. (3) expenses;
4. (4) other charges and income;
5. (5) taxation; and
6. (6) dividends paid and accrued.

3.4

The forecast summary balance sheet referred to in 3.1(3)(b) must contain the following information:

1. (1) investments analysed by type;
2. (2) assets held to cover _linked long-term liabilities_ ;
3. (3) other assets and liabilities separately identifying cash at bank and in hand;
4. (4) capital and reserves analysed into called up share capital or equivalent funds, share premium account, revaluation reserve, other reserves and profit and loss account;
5. (5) subordinated liabilities;
6. (6) the fund for future appropriations;
7. (7) the provisions referred to in Third Country Branches 6.1, gross and net of _reinsurance_ analysed by accounting _class_ of _insurance business_ and separately identifying the provision for _linked long-term liabilities_ , unearned _premiums_ , unexpired risks and equalisation; and
8. (8) other liabilities and credits.

4

Notifications and Annual Updates

4.1

A _firm_ must:

1. (1) notify the _PRA_ at least 28 days before entering into or carrying out any _material transaction_ with, or in respect of, an associate or any other _person_ with whom the _firm_ has _close links_ , unless that transaction is in accordance with a _scheme of operations_ which has been submitted to the _PRA_ ;
2. (2) notify the _PRA_ promptly of any matter which has happened or is likely to happen and which represents a significant departure from the _scheme of operations_ and either:
 1. (a) explain the nature of the departure and the reasons for it and in the case of _third country branch undertakings_ , provide revised forecast financial information in 3.1(3) in the _scheme of operations_ for its remaining term; or
 2. (b) include an amended _scheme of operations_ and explain the amendments and the reasons for them.

4.2

A _firm_ must, at least annually, update the _PRA_ in writing on progress against, or deviation from, the _firm's_ run-off

plan submitted in accordance with 2.

5

Third Country Branches [Deleted]

5.1

[Deleted]

5.2

[Deleted]